

International Economics

Final Exam 2024

5 June 2024

Exam duration: 3 hours

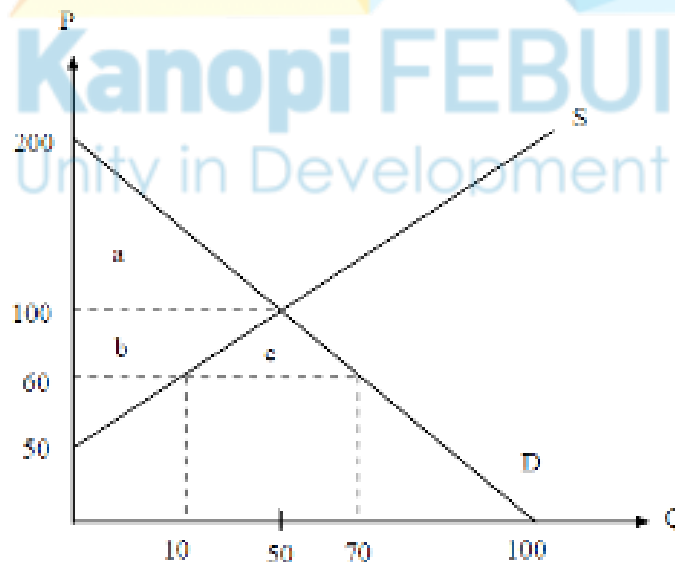
Instructions:

- You can have a sheet of cheating notes (both sides of the paper can be filled) in this exam.
- Please do not use any electronic devices.
- This exam has 7 pages, please check this before you start the exam.
- The exam has 3 compulsory questions and 3 optional questions. You have to pick 2 optional questions.
- Each question is worth 20 points. Hence, the total maximum point is 100.
- **Please answer five questions only.** If you answer more than five questions, we will only mark the first five.

COMPULSORY QUESTIONS

Question 1

The Abuba government is considering implementing a 40% tariff on ceramic products to encourage the development of the domestic ceramic industry. This plan received protests from consumers and the property sector, which uses a lot of ceramic products. Studies conducted by consumer associations and the property sector found that the impact of implementing this tariff on welfare is shown in the graph below



The graph assumes that the demand and supply functions for ceramics in Abuba country are: Supply (S): $P = 50 + Q$ and Demand $P = 200 - 2Q$. Where the average price of ceramic products is 60 thousand per m² and the price after applying the tariff is 100 thousand per m².

- (a) [10 points] By looking at the graph above, calculate the impact of implementing this tariff on a) Consumers, b) Domestic Producers and c) Total Surplus (welfare). From this calculation, who benefits and suffers from the application of this tariff? Does the government gain acceptance of this policy? (hint: whether there is an import or not)
- (b) [5 points] Why do you think a number of developing countries continue to apply high tariffs to a number of their strategic sectors using infant industry and import substitution arguments? Explain the pros and cons of this policy!
- (c) [5 points] Indonesia is currently implementing quite a lot of local content requirement policies such as TKDN (Domestic Component Level). A number of countries have raised objections to this policy, especially regarding TKDN on telecommunications products. In this regard, explain how the TKDN policy can influence (i) import flows (ii) decisions to use imported and domestic inputs, (iii) production costs and (iv) prices at the consumer level?

Question 2

- (a) [4 points] Use the concept of Uncovered Interest Parity (UIP) and Purchasing Power Parity (PPP) to derive the Fisher Effect.
- (b) [3 points] Show that you can derive real interest rate parity from the Fisher Effect.
- (c) Consider the long-run policies in Denmark and Eurozone. Assume Denmark's money growth rate is currently 6% and Denmark's output growth is 4%. Meanwhile, Eurozone's money growth rate is 5% and its output growth is 3%. In addition, the world real interest rate is 1.5%. Treat Denmark as home country and Eurozone as foreign country. Define the exchange rate as Denmark krone per euro, $E_{kr/€}$.
 - (i) [2 points] Compute the inflation rate in Denmark.
 - (ii) [2 points] Compute the inflation rate in Eurozone.
 - (iii) [2 points] Compute the nominal interest rate in Denmark.
 - (iv) [2 points] Compute the nominal interest rate in Eurozone.
 - (v) [2 points] Compute the rate of depreciation of Denmark krone relative to Euro.
 - (vi) [3 points] Suppose the central bank of the Eurozone, the European Central Bank (ECB), decreases its money growth rate from 5% to 4%. If the central bank of Denmark does not change its money growth and there is no change in Denmark's output growth, what happen to Denmark's inflation rate, nominal interest rate, and the rate of depreciation of the Danish krone to the euro?

Question 3

Local Currency Pressure: Asian Financial Crises/AFC (1998), Global Financial Crises/GFC (2008), Taper Tantrum (2013).

- Due to the AFC, The Government of Indonesia must change its exchange rate policy regime from “devaluation” to “depreciation”. What made them different? [5 points]
- Due to the massive IDR's (Indonesia Rupiah) per USD depreciation amidst the AFC, Indonesia was supposed to receive a high trade surplus, yet it did not. Why? Use the J-Curve concept to answer it. [5 points]
- During the Global Financial Crises (GFC) in 2008, the Real Exchange Rate (RER) of IDR per USD was more stable than that during the AFC in 1998. What factor makes RER stable? Apply the Law of One Price or Purchasing Power Parity (PPP) concept! [5 points]
- From 2009 to 2012, IDR per USD was overvalued and ended with the Taper Tantrum in 2013. What is Taper Tantrum? Why did it happen to Indonesia? [5 points]

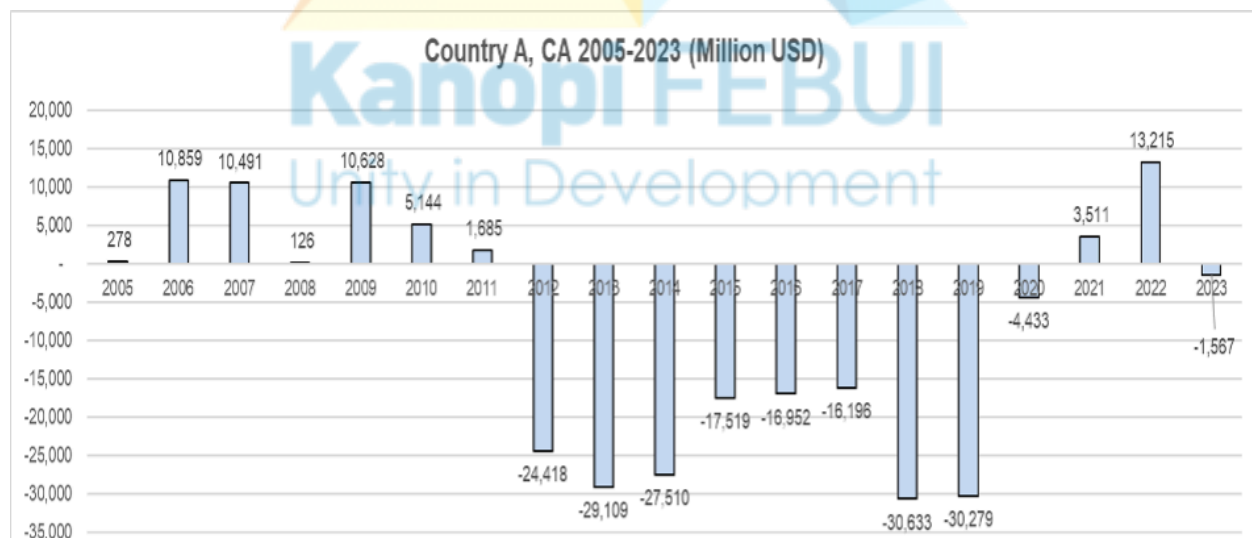
OPTIONAL QUESTIONS (*pick only 2 optional question*)

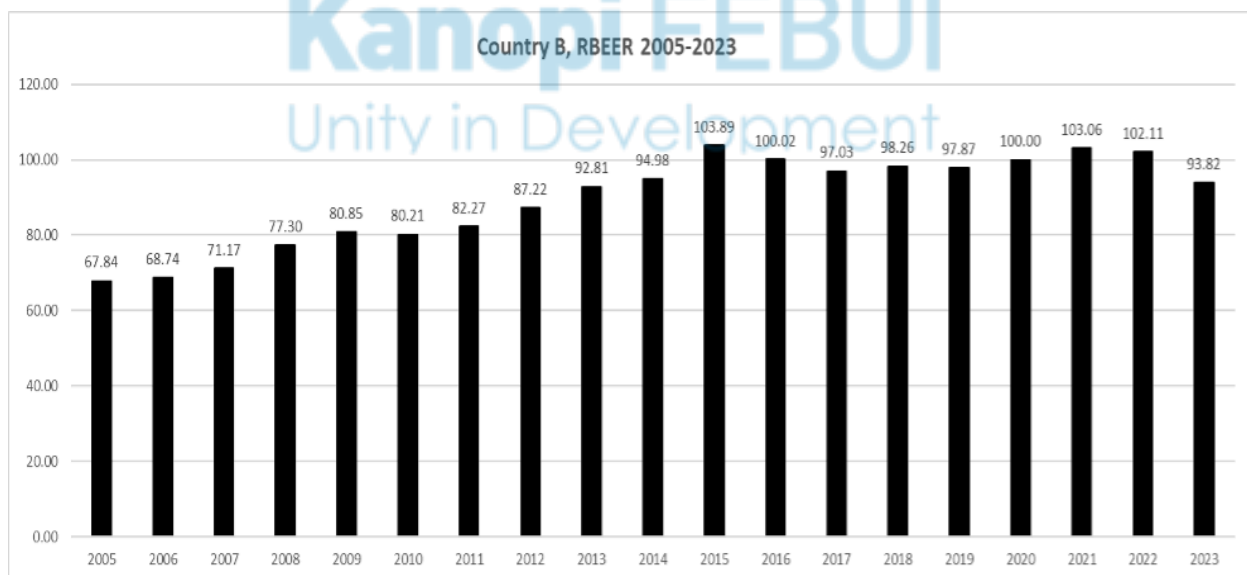
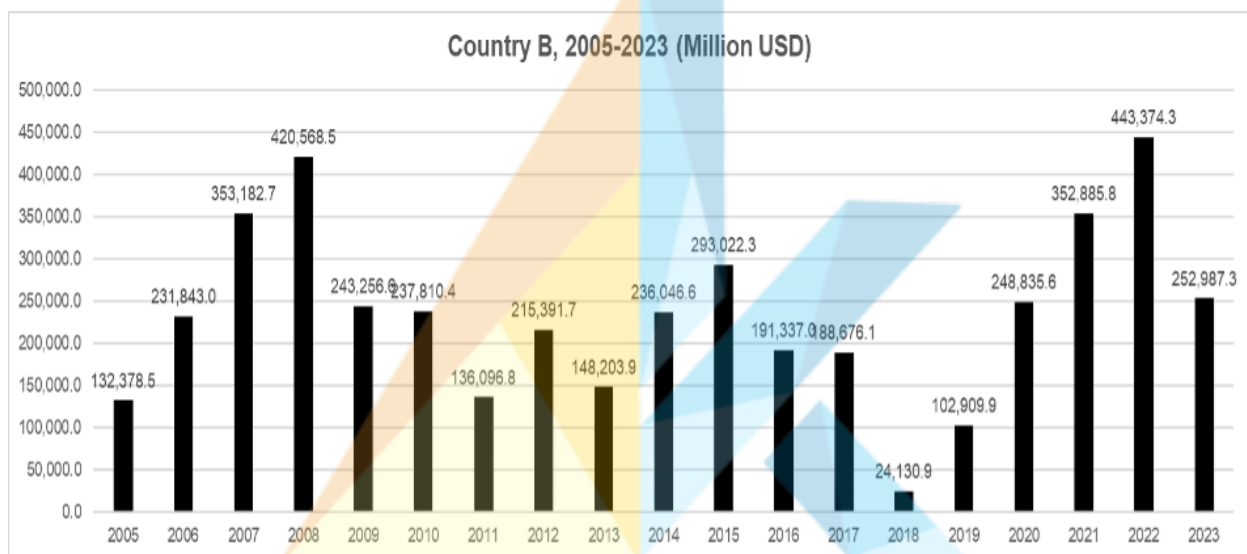
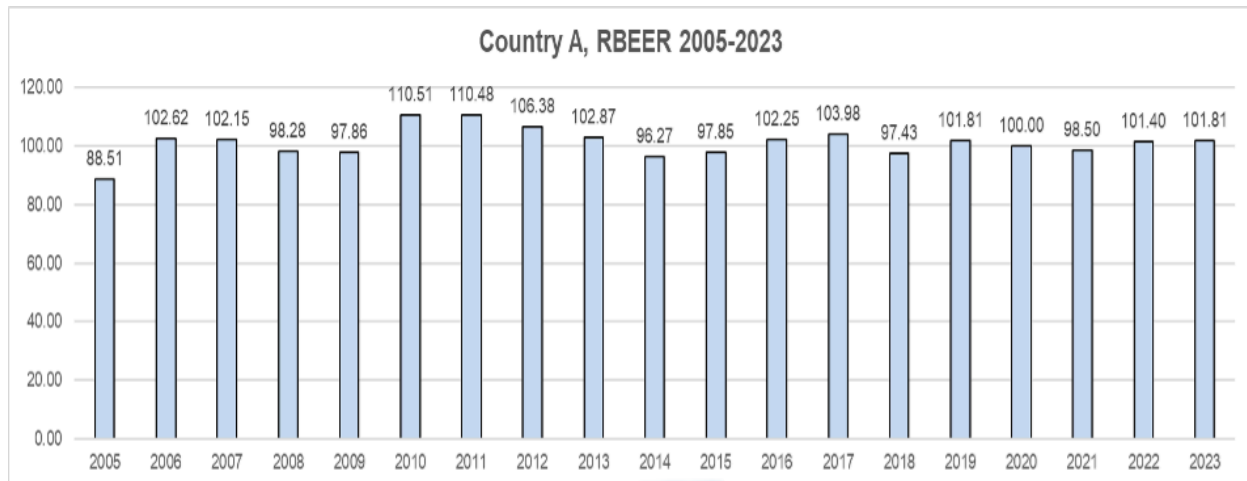
Question 4 [20 points]

These four figures (below) are taken from real data from particular countries' Central Banks. Their sources are Balance of Payment and Bank for International Settlements.

As we understand, the Current Account (CA) position indicates global demand for the country's product, while The Real Effective Exchange Rate (REER/RBEER) indicates local currency strength toward international currency.

- Which country does not intervene in its currency level? Why? [10 points]
- Why does the other country intervene with its currency level? Connect your answer to the impacts of undervalue or overvalue on the surplus or deficit of net exports (CA)! [10 points]





Question 5

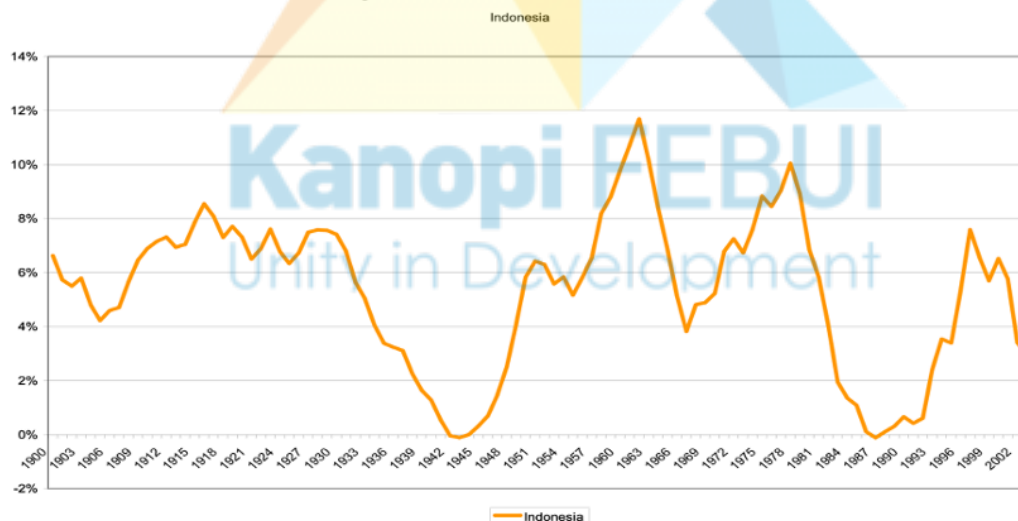
The US trade representative in Indonesia is complaining: "Due to the expansionary monetary policy in your country, your exchange rate has been steadily devaluing for a long time. This makes it impossible for the US to export in your country."

- (a) [10 points] Analyze this statement using the theoretical framework we have studied in the class. You can also use equations and graphs to support your analysis.
- (b) [10 points] Why would be the objective of Indonesia in such case to do such monetary expansion? Do you have other suggestions that Indonesia could do to achieve the same objective?

Question 6

The issue of rice imports has been a sensitive issue subject to much debate and political pressures because rice is the staple food for Indonesians. The issue is that we do not produce enough rice for our consumers, especially with a growing population and this is especially true during the period when there is no production of rice (usually around December-March). Indonesia has had to import rice to ensure sufficient supply for domestic consumption and stabilize rice prices for over 100 years.

And the fact is that for the last 100 years Indonesia has been importing rice – seasonal, during the non harvest season (October-Feb)



- Imports on average 4 percent of production in last 100 years

The different import regimes in summary:

Soeharto Regime, 1974-1996: BULOG (Badan Urusan Logistik), Logistics Agency, as state trading company has buffer stock of rice, buy from farmers when price is low and intervene in market when prices are high, **ensure sufficient stock by importing needs (sole importer) especially during non harvest season.**

Financial crisis and IMF Letter of Intent (LOI) (1998-2004): liberalization of quantitative import restrictions with the period of 22 September 1998 – 2 September 1999: imports can be done by general importer, zero tariff and 2 Sept 1999-31 December 2002: imports by general importer for higher quality rice and by BULOG for lower quality rice with specific tariff of Rp. 430/kg.

2004 to now with variations: imports of rice only by BULOG and determined quantity. Rice imports not to come in one month before main harvest (March/April) and two months after main harvest (Decision to import Sept/Oct, to come in Dec-Feb).

These are different applications of import policy and with different impacts.

Recall the summary of trade policies in Krugman Chapter 9

Table 9.1 Effects of Alternative Trade Policies

Policy	Tariff	Export Subsidy	Import Quota	Voluntary Export Restraint
Producer surplus	Increases	Increases	Increases	Increases
Consumer surplus	Falls	Falls	Falls	Falls
Government revenue	Increases	Falls (government spending rises)	No change (rents to license holders)	No change (rents to foreigners)
Overall national welfare	Ambiguous (falls for small country)	Falls	Ambiguous (falls for small country)	Falls

- (a) (5 points). Which type of policy would you describe as the policies in the three different regimes of Indonesia over the last four decades.

- (b) (10 points). Given the types of policies can you compare the impact of the different types of policies and what are the net welfare effects in each case. Please use diagrams to illustrate your points.
- (c) (5 points). Given your answers in 1 and 2 which import policy do you think is best for Indonesia to achieve the objective of stabilizing the price of rice for consumer's basic food.

